

The Geography of Life: Evidence from Copenhagen*

Gabriel M. Ahlfeldt
Humboldt University Berlin

Ismir Mulalic
Copenhagen Business School

Caterina Soto-Vieira
London School of Economics

Daniel M. Sturm
London School of Economics

February 18, 2025

Abstract

Large literatures have studied the effect of age and life events, such as marriage and child-birth, on labor supply, earnings and consumption. In contrast, we know little about how age and life events affect location choices, despite vast differences in house prices and amenities across locations. This paper uses newly constructed individual level panel data for the population of Copenhagen covering more than 30 years to provide evidence on how location choices evolve with age and life events. We document several new stylized facts on how workplace and residence choices, commuting, and residential floor space consumption change with age and life events. We combine the reduced form evidence with a quantitative urban model to determine what factors are driving the strikingly different location choices of different groups. We use model counterfactuals to investigate the factors that drive the strikingly different locations choices of different groups and evaluate the effect of population aging, cohabitation rates and fertility on the geography of cities.

JEL Codes: R21, R23, J12, J13, J14.

Keywords: Spatial sorting, quantitative spatial models, life-cycle, aging, fertility.

*We would like to thank Dave Donaldson, Tatjana Kleineberg, Xavier Jaravel, and seminar participants at LSE, Copenhagen Business School, Humboldt University, Rockwool Foundation Berlin, the German Federal Statistical Office, IfW Kiel, University of Heidelberg, University of Luxemburg, the Collaborative Research Center Rationality and Competition, University of Barcelona, Pompeu Fabra University, and the Danish Center for Social Science Research (VIVE) for comments and suggestions. Daniel Sturm gratefully acknowledges financial support from the European Research Council (Grant 101020068 - COMMUTE). We would like to thank Carolyn Diamond, Alexander Hansen, Kalle Kappner, and Ashok Manandhar for outstanding research assistance. The usual disclaimer applies. Ahlfeldt: Department of Economics, Humboldt University, and Berlin School of Economics, Germany, email: g.ahlfeldt@hu-berlin.de; Mulalic: Department of Economics, Copenhagen Business School, Denmark, email: imu.eco@cbs.dk; Soto-Vieira: Department of Economics, London School of Economics, UK, email: c.soto-vieira@lse.ac.uk; Sturm: Department of Economics, London School of Economics, UK, email: d.m.sturm@lse.ac.uk.